STUDY REFERENCE · ACCOUNTING

Questions & Answers
IFRS 3 · IAS 36 · IFRS 15 · IAS 37

Complete solved exercises on Business Combinations, Goodwill Impairment, and Warranty Accounting.

IFRS 3 | IAS 36 | IFRS 15 | IAS 37 | 15 QUESTIONS

Exercise 1

BUSINESS COMBINATION & GOODWILL IMPAIRMENT

SCENARIO

On **1/1/2025**, Company (X) purchases Company (Y) for **$635,000 cash**. The identified assets and liabilities of (Y) on December 31, 2024 were as follows:

Item	Book Value	Fair Value
ASSETS		
Cash	200,000	200,000
Inventory	45,000	45,000
Land	240,000	350,000
Building	180,000	155,000
Copyright	—	60,000
LIABILITIES		
Accounts Payable	105,000	105,000
Long-term Loan	170,000	170,000

On **December 31, 2025**, (X) reviewed the CGU for impairment. Recoverable amount (value-in-use) = **480,000**. Carrying value of assets (excl. goodwill) = **705,000**. Liabilities = **270,000**.

1 **The fair value of identifiable net assets purchased on January 1, 2025 = ...**

a) 810,000

b) 750,000

c) **535,000** ✓

d) None of the above

IFRS 3 All identifiable assets and liabilities are measured at **fair value** on the acquisition date.

```
Total FV of Assets = 200,000 + 45,000 + 350,000 + 155,000 + 60,000 =
810,000 Total FV of Liabilities = 105,000 + 170,000 = 275,000 Net
Identifiable Assets = 810,000 - 275,000 = 535,000
```

2 **The goodwill acquired from the purchase on January 1, 2025 = ...**

- (a) **100,000** ✓
- (b) 115,000
- (c) 175,000
- (d) No goodwill to be recorded

IFRS 3 Goodwill = Consideration Transferred − Fair Value of Identifiable Net Assets.

```
Goodwill = 635,000 - 535,000 = 100,000
```

3 **In the journal entry of recording the purchase of (Y) on January 1, 2025, Building is to be recorded by .....**

- (a) 180,000 (Dr)
- (b) 180,000 (Cr)
- (c) **155,000 (Dr)** ✓
- (d) 155,000 (Cr)

IFRS 3 Under the acquisition method, all assets are recorded at their **acquisition-date fair value**, not book value. Building Fair Value = **155,000 (Debit)**. The book value of 180,000 is irrelevant.

4 **The impairment loss of goodwill on December 31, 2025 (if any) = ...**

a) 100,000

b) **55,000** ✓

c) 45,000

d) Zero

e) None of the above

IAS 36 Compare the CGU's **carrying amount (incl. goodwill)** with its recoverable amount. Goodwill is reduced first.

```
CGU Carrying Amount = 705,000 (assets) + 100,000 (GW) - 270,000
(liabilities) = 535,000 Recoverable Amount = 480,000 Impairment Loss =
535,000 - 480,000 = 55,000 (55,000 < 100,000 goodwill → fully absorbed by
goodwill)
```

5 **The carrying value of goodwill on January 1, 2026 = ...**

a) 100,000

b) 55,000

c) **45,000** ✓

d) Zero

e) None of the above

IAS 36

```
Goodwill (Jan 1, 2026) = 100,000 - 55,000 (impairment) = 45,000
```

6 **Assuming recoverable amount on Dec 31, 2025 = 405,000, the carrying value of goodwill on January 1, 2026 = ...**

- (a) 35,000
- (b) 65,000
- (c) 100,000
- (d) **Zero** ✓
- (e) None of the above

IAS 36 Total impairment = 535,000 − 405,000 = **130,000**. Goodwill (100,000) is fully eliminated first. The remaining 30,000 is allocated pro-rata to other assets.

```
Impairment = 535,000 - 405,000 = 130,000 Goodwill absorbs: 100,000 → GW = 0
Remaining allocated to other assets: 30,000 (pro rata)
```

⚠️ IAS 36: **Goodwill impairment losses cannot be reversed** in future periods.

Exercise 2

WARRANTY ACCOUNTING — ASSURANCE-TYPE VS SERVICE-TYPE

SCENARIO

On **April 1, 2025**, Samsung Inc. sold **1,000 cellular phones** for **$20,000 each**. Warranty price = **$2,000 per unit**. Warranty period = **18 months**.

Based on experience, Samsung estimated **10% of devices** may need warranty service at a cost of **$1,000 per device**.

During 2025, Samsung incurred **$35,000 in actual cash** for warranty repairs.

Item	Calculation	Amount
Total Cash Received	1,000 × $20,000	$20,000,000
Total Warranty Value	1,000 × $2,000	$2,000,000
Phone Revenue (excl. warranty)	1,000 × $18,000	$18,000,000
Estimated Warranty Provision	10% × 1,000 × $1,000	$100,000
Actual Warranty Costs Paid	Given	$35,000

PART A — ASSURANCE-TYPE WARRANTY · IAS 37

7 **Using assurance-type warranty, the journal entry to record the sale of phones on April 1, 2025:**

a **Cash 20,000,000 (Dr) / Sales Revenue 20,000,000 (Cr)** ✓

b Cash 18,000,000 (Dr) / Sales Revenue 18,000,000 (Cr)

c Cash 20,000,000 (Dr) / Sales Revenue 18,000,000 (Cr) / Unearned Warranty Revenue 2,000,000 (Cr)

d Cash 180,000,000 (Dr) / Unearned Warranty Revenue 2,000,000 (Dr) / Sales Revenue 20,000,000 (Cr)

IAS 37 Under assurance-type warranty, the warranty is **not a separate performance obligation**. The full $20,000,000 is recognized as revenue. Warranty costs are handled separately as an IAS 37 provision: Dr Warranty Expense / Cr Warranty Liability.

8 **Using assurance-type warranty, the journal entry to record the actual warranty expense:**

a. Warranty Expense 35,000 (Dr) / Cash 35,000 (Cr)

b. **Warranty Liability 35,000 (Dr) / Cash 35,000 (Cr)** ✓

c. Warranty Expense 35,000 (Dr) / Warranty Liability 35,000 (Cr)

d. None of the above

IAS 37 The expense and liability were already recognized at the point of sale (Dr Warranty Expense / Cr Warranty Liability). When actual costs are settled, the **liability is debited and cash is credited**.

```
Warranty Liability 35,000 (Dr) | Cash 35,000 (Cr)
```

9 **Using assurance-type warranty, the warranty expense in the income statement for year ended 31/12/2025 = ...**

a. 200,000

b. **100,000** ✓

c. 65,000

d. 35,000

IAS 37 Under assurance-type, the full **estimated** warranty cost is expensed at the point of sale (matching principle).

```
Warranty Expense = 10% × 1,000 units × $1,000 = $100,000
```

10 **Using assurance-type warranty, the warranty liability on the SFP on 31/12/2025 = ...**

a) 1,000,000

b) 200,000

c) 100,000

d) **65,000** ✓

e) 35,000

IAS 37

Provision recognized at sale = 100,000 Actual costs paid in 2025 = (35,000)
Warranty Liability (SFP) = **65,000**

11 **Using service-type warranty, the journal entry to record the sale of phones on April 1, 2025:**

a. Cash 20,000,000 (Dr) / Sales Revenue 20,000,000 (Cr)

b. Cash 18,000,000 (Dr) / Sales Revenue 18,000,000 (Cr)

c. **Cash 20,000,000 (Dr) / Sales Revenue 18,000,000 (Cr) / Unearned Warranty Revenue 2,000,000 (Cr)** ✓

d. Cash 180,000,000 (Dr) / Unearned Warranty Revenue 2,000,000 (Dr) / Sales Revenue 20,000,000 (Cr)

IFRS 15 Under service-type warranty, the warranty is a **separate performance obligation**. The transaction price must be **allocated** between the product and the warranty.

```
Cash 20,000,000 (Dr) Sales Revenue 18,000,000 (Cr) [1,000 × $18,000]
Unearned Warranty Revenue 2,000,000 (Cr) [1,000 × $2,000]
```

12 **Using service-type warranty, the journal entry to record the actual warranty expense:**

a. **Warranty Expense 35,000 (Dr) / Cash 35,000 (Cr)** ✓

b. Warranty Liability 35,000 (Dr) / Cash 35,000 (Cr)

c. Warranty Expense 35,000 (Dr) / Warranty Liability 35,000 (Cr)

d. None of the above

IFRS 15 Under service-type warranty, **no provision is set up**. Warranty repair costs are recognized as an expense only when **actually incurred**.

```
Warranty Expense 35,000 (Dr) | Cash 35,000 (Cr)
```

13 **Using service-type warranty, the warranty expense in the income statement for year ended 31/12/2025 = ...**

a) 200,000

b) 100,000

c) 65,000

d) **35,000** ✓

IFRS 15 Only **actual costs incurred** are expensed under service-type. No estimated provision exists.

```
Warranty Expense = $35,000 (actual cash paid)
```

14 **Using service-type warranty, the warranty liability on the SFP on 31/12/2025 according to the straight-line method = 2,000,000.**

True | **False ✓**

IFRS 15 Warranty period = **18 months** (Apr 1, 2025 → Sep 30, 2026). By Dec 31, 2025, **9 months** have elapsed.

```
Revenue earned (straight-line) = 9/18 × $2,000,000 = $1,000,000 Remaining
Unearned Liability = $2,000,000 − $1,000,000 = $1,000,000 (NOT $2,000,000 →
Statement is FALSE)
```

15 **Using service-type warranty, the earned warranty revenue in the income statement for year ended 31/12/2025 according to the actual cost method = 700,000.**

True ✓ | **False**

IFRS 15 Under the **actual cost method**, revenue is recognized proportionally based on costs incurred vs. total estimated costs.

```
Recognition % = Actual Costs / Total Estimated Costs = 35,000 / 100,000 =
35% Earned Revenue = 35% × $2,000,000 = $700,000 ✓
```